Government. At the same time, it was recognised that day- to-day administration of India could not be run or even superintended from a distance of 6,000 miles. Supreme authority in India was, therefore, delegated to the Governor-General-in-Council. The Governor-General, having the authority to overrule his Council on important questions, became in fact the real, effective ruler of India, functioning under the superintendence, control and direction of the British government.

The British created a new system of administration in India to serve their purposes. But before we discuss the salient features of this system, it would be better if we first examine the purposes which it was designed to serve, for the main function of the administrative system of a country is to accomplish the aims and objects of its rulers. The chief aim of the British was to enable them to exploit India economically to the maximum advantage of various British interests, ranging from the Company to the Lancashire manufacturers. In 1793, Lord Cornwallis, the Governor-General, defined two primary objectives for the Bengal government. It must 'ensure its political safety and it must render the possession of the country as advantageous as possible to the East India Company and the British nation'. At the same time India was to be made to bear the full cost of its own conquest as well as of foreign rule. An examination of the economic policies of the British in India is, therefore, of prime importance.

British Economic Policies in India (1757–1857)

Commercial Policy

From 1600 to 1757 the East India Company's role in India was that of a trading corporation which brought goods or precious metals into India and exchanged them for Indian goods like textiles and spices, which it sold abroad. Its profits came primarily from the sale of Indian goods abroad. Naturally, it tried constantly to open new markets for Indian goods in Britain and other countries. Thereby, it increased the export of Indian manufacturers and thus encouraged their production. This is the